
Choosing The Right Markets ... and the Right Partners for

Informix

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Agenda

- Industry Trends Drive the Markets
- The Changing Customer Perspective
- The Right Channels for the Right Markets

Industry Trends Drive the Markets

■ Industry Trends Drive the Markets

- Architecture, systems, and platforms
- Database and tools
- Client-server solutions

■ The Changing Customer Perspective

■ The Right Channels for the Right Markets

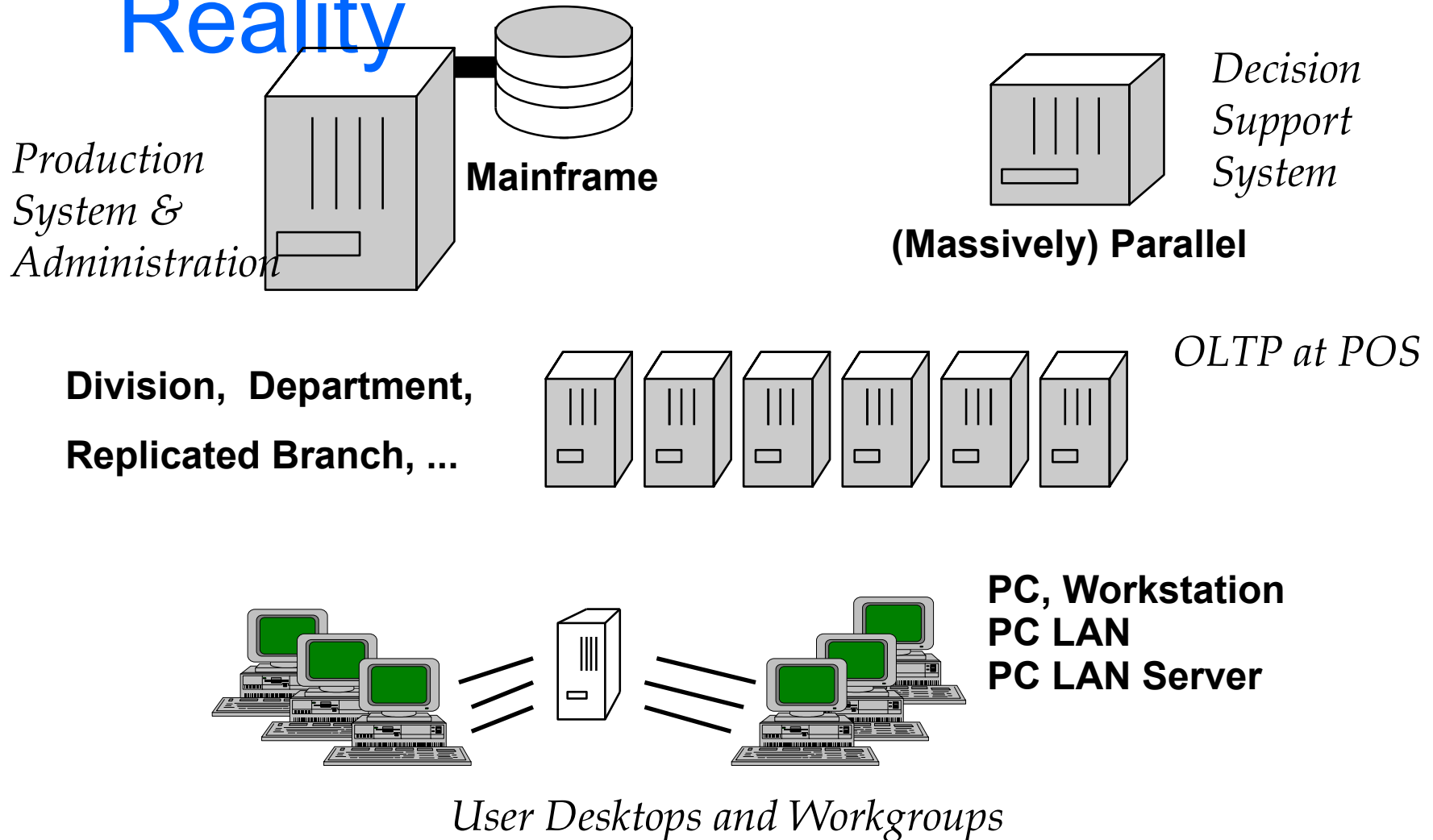
The IT Industry Is About Change

- The IT industry is now in its most rapid growth stage ever
- User requirements and decision making criteria are continuously changing
- IT product offerings are new, fresh and advancing
- The skills required to be successful in the IT industry require continuous updating
- And the rate of change (and accompanying IS decision maker *confusion*) is accelerating!

Major Industry Trends

- Open Systems
- Increased LOB influence on Information Systems
- Quantum Leaps in Semiconductors
- Rapid Application Development (RAD)
- Distributed Computing
- Client-Server Feeding Frenzy

Today's Distributed Computing Reality



Client-Server Architecture

Best Practices

- As many as 4 tiers of computing
 - Desktop, branch/region, enterprise
- Separate tiers for OLTP and DSS
 - Avoid the “query from hell” impact on OLTP
 - Need for central management
 - Need for data migration and transformation

Symmetric Multiprocessing

■ Sweet spot in the market

- scalability
- higher profit margins for hardware & software
- highly competitive

■ SMP is alive and well

- Was dead at 16 processors
- New hardware and software give SMP new life
- Will still be maturing in 5 years

Clustering

- Very mature on Unix
- Typically used for high availability, particularly in manufacturing and telecommunications
- Windows NT clustering will emerge in 1996, thrive in 1997 (Compaq + Tandem; DEC)
- Best applications with Online XPS
 - High-availability transaction processing
 - Warehouse scalability after topping out SMP

Parallel-Scalable (i.e., MPP)

- The heights of scalability

- Needed for large warehouses

- Driven by IBM with PowerParallel SP (e.g. SP2)

- AT&T GIS is focused on making profits while retaining customer base — a problem partner in '96

- High end OLTP

- Server consolidation

- An attack market for Informix with XPS

Systems & Platforms

- 1996 is the year of the application server
 - Unix Tier-1 suppliers continue 20%+ growth rates
 - NT Server steadily picks up steam at workgroup/department level
- Minor changes in desktop hardware & software
- MPP market is interesting but < 2% share
- 64 bit becomes hardware & software marketing weapon
- In short: better, cheaper, faster, smaller (again)

Database Technology Issues

— Prioritized List for 1996

- Parallel/scalable
- Workgroup and personal
- Replication
- Remote and disconnected users
- Point&click administration
- Store any data
- Performance on NT Server

Development Tools

Technology Issues for 1996

- Note: RDBMS tool growth is slowing
- Which tool is right?
- Windows 32-bit apps for Win95 and NT
- Object development without the learning curve
- Enterprise-scale, large project development
- Partitioning: a precursor to distributed objects
- Elegance: sophistication in hiding complexity

C-S Solutions — Packaged Applications

CSS Battle Lines

- Solution Set -- Fully-Integrated vs.. Best-of-Breed
- Architecture -- Application-centric vs..
Database-centric
- Toolsets -- Home-grown vs.. "Industry standard"
- Channel Mix -- Direct vs.. Alternate
- Midrange Market -- Unix vs. NT

Database-centric or Application-centric

CSS Supplier Architecture Orientations

Category	Criteria
Database-centric (mainly VARs)	• An application designed for one database • Performance "optimized" for one database • Gateway access to other databases
Application-centric (mainly ISVs)	• An application designed for a heterogeneous database environment • Performance "optimized" for select number of databases • Native ANSI SQL drivers and Gateways

Source: AberdeenGroup, 1995

Toolsets are Making a Difference

■ Home-Grown

- Many suppliers have built their own
 - Perceived lack of available functionality
 - Majority are CASE-based (i.e., ABAP from SAP)

■ Industry Standard

- A growing percentage of newer suppliers
 - Majority are C, Visual C++ and Visual Basic combos
 - Few Gupta, Uniface, PowerBuilder
 - Fewer use RDBMS supplied toolsets (guilt by association)

Channel Mix

Customers want direct -- Suppliers can't afford it

Can anyone make client-server turnkey?

■ Direct

- Expensive
- High SGA-Impact
- Major System Suppliers are pulling back

■ Indirect

- Outward burden-shifting
- Low & Mid Customers buy-through channels
- Resellers with highly-variable (outdated?) expertise

Who Gets the Midrange Market?

■ Unix

- Dominant OS for RISC and open systems suppliers
- Major variants include HP-UX, IBM's AIX, SVR4, Solaris
- Enormous historical burden from the academic community. Only in 1990s has Unix emerged as practical and reliable for commercial applications
- From buyer's standpoint, every Unix is different, often subtly

Who Gets the Midrange Market?

■ Windows NT Server

- Fast-growing OS-of-choice for PC LANs, workgroup servers
- Has the look and feel of Windows; Runs almost all Windows programs
- Hardened, security, multiprocessors
- Versions for Intel (90%), Alpha, MIPS, PowerPC servers
- In 1995, Windows NT scales to handle department/divisional loads
- NT price/performance is giving Unix suppliers a real

Applications:

A New Generation for a New

Generation

- CSS is the catalyst for business reengineering, streamlining, and organizational change
- CSS has required a generational change in both enterprise management and technology to enable
- Implementation efforts are a process, not a project, that will never end and must become part of an enterprise's culture

Who are the Client-Server Solutions Market Suppliers?

- Independent Software Vendors (ISVs)

- Value-added Resellers (VARs)

- System Integrators (SIs)

- "Big 6" Consulting Firms

CSS Alternatives

■ Turnkey

- Enterprise CSS Going down market

■ Developed In-house

- Luxury few can afford

■ Fully Integrated

- Primarily from Manufacturing Suppliers

■ Best of Breed

- Financial Suppliers
- HR Suppliers
- Process Manufacturers

CSS Market Characteristics

■ Company Size & Revenue Dictate Requirements

–\$25 Million and less

- \$500 to \$5,000 per module
- PC LAN-based
- Primarily VARs

–\$250 Million and less

- \$10,000 to \$75,000 per module
- Fortune 1000 -- time-share surrounded by client-server
- Mostly direct

–\$251 Million and up

- \$50,000 to \$150,000 per module
- Fortune 500 -- legacy leveraged by client-server
- Direct

CSS Implementation

Timeframes

■ Fortune 500

- Human Resources -- 3 to 6 months
- Finance & Accounting -- 6 to 18 months
- Manufacturing & Distribution -- 12 to 36 months

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■ Fortune 1000

- Human Resources -- 1 to 3 months
- Finance & Accounting -- 3 to 12 months
- Manufacturing & Distribution -- 9 to 24 months

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■ Small Business

- Human Resources -- 0 months
- Finance & Accounting -- 1 to 2 months
- Manufacturing & Distribution -- 2 to 6 months

CSS 1996 Competitive

Landscape

Enterprise

SAP AG

Oracle

PeopleSoft

Midrange

Dun & Bradstreet

Hyperion Software (IMRS)

Lawson Software

DeskTop

Computer Assoc. Baan International

Great Plains

Computer Associates

Platinum Software

FlexiInternational

SQL Financials

TAGs (Those AS/400 Guys)

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Enterprise IS Decision Making

- Enterprises' typically make IT choices based on existing IS competencies and line management requirements
- There is no one IS decision maker -- and consensus acquisition decisions include line managers with minimal professional IT knowledge
- IT suppliers' ability to communicate effectively with both end-users and IS professionals is key for future success

Driving Forces

- Competitive Advantage
- Downsizing or Reengineering (increase internal efficiency)
- Strategic Technology Commitment
- Overburdened legacy applications & expensive system upgrade
- Original Supplier has changed

Who Are the Players?

- CEO -- Board of Directors
 - Catalyst for Change
- CFO -- Chief Financial Officer
 - Cost Containment, Optimization
- CIO -- Chief Information Officer
 - Budgets, Standards, IT Leadership
- Division Vice President
 - Revenue Production, P&L
- Plant GM or Technical Project Manager
 - Product Development, Manufacturing
- Business Unit Managers -- End Users
 - Distribution, Sales, Service

Top Mgt Issues For IT Executives

'95 Rank	'94 Rank	Issue
1	2	Aligning IT & corporate goals
2	4	Instituting cross-functional Information Systems
3	3	Organizing & utilizing data
4	1	Implementing business reengineering
5	9	Improving the IT human resource
6	NR	Enabling change and nimbleness
7	16	Connecting to customers or suppliers
8	5	Creating an information architecture
9	7	Updating obsolete systems
10	6	Improving the system development process

Source: Computer Sciences Corp.

Challenges, Directives for IT Staff

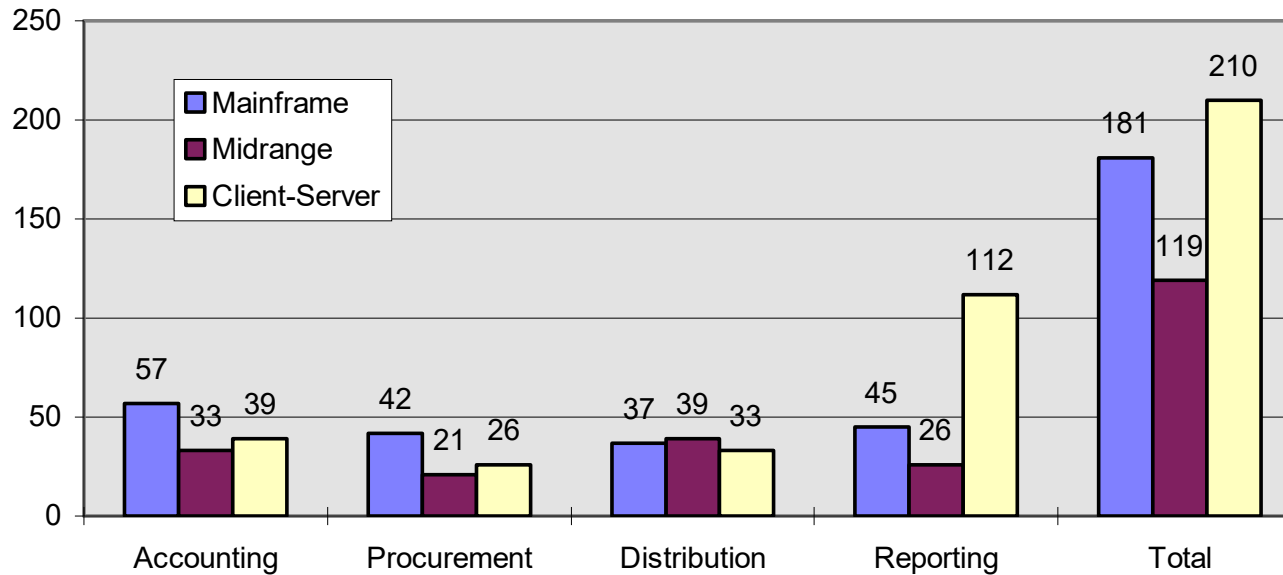
- Evaluate, Deploy, Integrate Myriad New Technologies
- Accelerate Application Development
- Deploy New Network Infrastructure
- Cut Costs
 - Reduce \$\$\$ Dependence on Mainframe
 - Contain Spiraling Costs for Systems Administration, Support
- Improve Distributed Management Capabilities
- Improve Responsiveness to Customer

Buying Habits

Targets, Price and Channel Preference

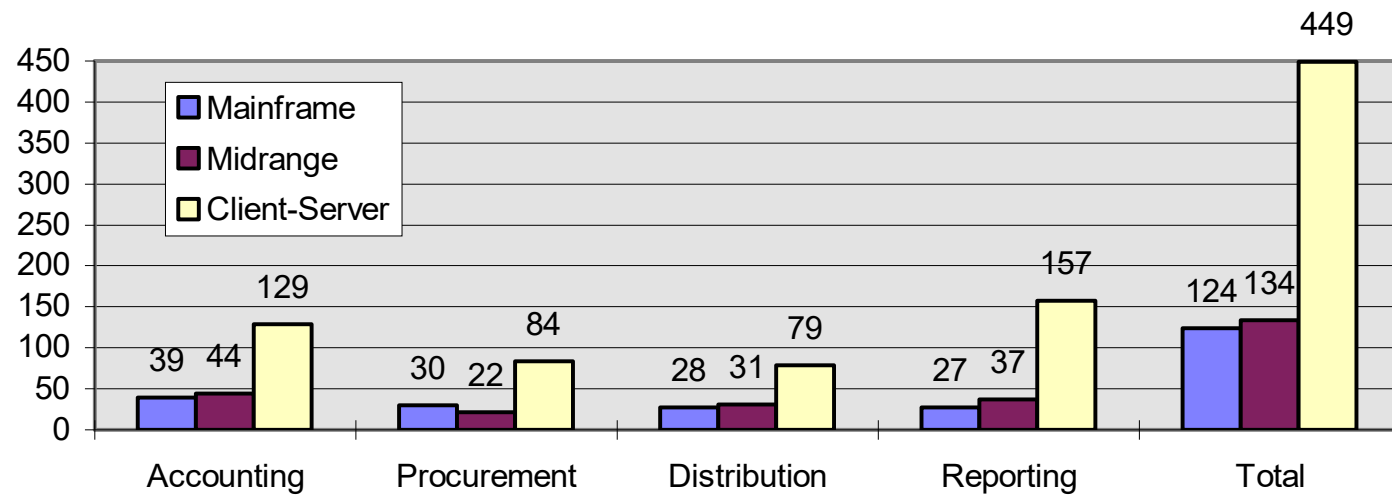
CSS Implementation

New System Implementations in the Last Two Years



CSS Implementation

New System Implementations Planned for the Next Two Years



Summary

- Multiple Decision Makers within each organization
- Different motivations driving each Profile
- Increasing emphasis on Business Relevance of New Systems
- IT Open Systems environment more complex than traditional proprietary
- Less experience and personnel infrastructure available than ever before

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The *Real* Market for Informix

■ Relational Databases

- Enterprise, departmental, personal/workgroup
- OLTP, decision support

■ Client-server application development tools

■ Technical service and support

■ *New!* Data retrieval end-user tools

- Stanford Technologies

The Informix *Strategic* Markets

- Workgroup solutions
- Client-server applications
- Customer-interaction applications
- End-user applications
- Custom/enterprise applications
- Imaging/workflow/document management
- Internet
- Data warehousing

Informix Vertical Markets

- Telecommunications
- Retail
- Retail banking
- Manufacturing
- State & local government

Introduction to Channels

- Direct sales
- Distributors
- Value-added resellers
- Solution providers (ISV's)
- Original Equipment Manufacturers
- Computer hardware manufacturers
- System Integrators
- Big 6 Accountants & C-S service providers

Off the Planning Table

- Direct sales
- Distributors

VAR's

- Project consultancies
- SOHO business apps
- Specialized vertical solutions (e.g., hotel management)
- Single-source solution providers of turnkey hardware, application, system software, and installation/training
- Self-sustaining

■ Trend

- Business remain good
- Continuous renewal process for CSS

■ Issues

- VARs are smaller size firms
- Spotty geographical coverage
- Under capitalized — slow to change suppliers
- But can be very loyal

Solution Providers (ISVs)

- Require a hardware partner

- They sell

- core business apps
- marketing/sales apps
- vertical-specific apps

- Can sell to small as well as large enterprises

- Large leverage factor (i.e., SAP to Informix)

- Trends

- What are the right development tools?
- Huge roll-over market as character-mode apps switch to C-S

- Issues

- Lots of partners required to present the “solution”
- How important is the RDBMS partner?
- “What’s in it for me?”

Original Equipment Manufacturers

■ Build hardware/software product containing Informix technology (e.g., retail bank branch solution)

- specialized “embedded” solutions
- Technology service providers

■ Trends

- Will buy, not make RDBMS technology
- Driven by C-S GUI
- Steady state overall

■ Issues

- Slow sell .. hand-holding .. reduced margins
- Lack of Informix visibility in finished product
- Very long-term support obligations

Computer Hardware Manufacturers

- Source VAR, solution, OEM hardware provider

- Bundled packaging (i.e., HP Open Warehouse)

- Custom implementations
 - SI arms

- Vertical expertise

- DG in medical
- Sun on trader's desks

- Trends

- Bundling and SI are up
- Neutrality directly proportional to revenues

- Issues

- Are bundles just a marketing pipe dream?
- Home office rhetoric vs.. field organization
- IBM, HP, Sun are top tier. Who else counts and why?

System Integrators

■ Ability to provide

- integration services
- one-time labor
- training
- Custom implementations

■ Turnkey solutions

■ Vertical expertise

■ Large-enterprise experience and capacity

■ Trends

- SIs have embraced C-S apps and re-engineering as major new business just as mainframe business tanks

■ Issues

- Project-driven vs.. long-term ... partner profits
- Selling the up-front supplier selection vs.. just the implementation
- Conflicts of interest
- HQ vs. local offices

Big Six Accountants et al

- Vertical expertise

- BPR

- Custom implementations

- Solution-provider implementations (e.g., SAP)

- Can be a systems integrator or manage SI process

- Trends

- See SI comments

- Business is people-constrained

- Issues

- Project-driven vs.. long-term ... partner profits

- Selling the up-front supplier selection vs.. just the implementation

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- HQ vs.. local offices

Channel Critical Success

Factors: What Partners Want

- Leads, leads, leads
- Programs, programs, programs
- Tiered, performance-based Cooperative Marketing funding
- Single-source HQ senior account management
- Direct access to technical support
- Local dedicated sales and liaison functions
- Ease of doing business

Irrelevant Critical Success Factors

- Price
- Switch incentives
- Best technology du jour
- Moral superiority

Roll Up Your Sleeves!

- 1. Assign best channels to Informix strategic markets
- 2. Assign Informix strategic markets to chosen vertical markets
- 3. Prioritize channels by vertical market
- 4. Calculate/weight investment by channel by vertical market
- 5. Prioritize vertical markets

Where We Are Going ...



\$100

1. Assigning Channels to Strategic Markets

1. Assigning Channels to Strategic Markets

Telecomm Market

- Dynamic: mature but rapidly changing
- Time to market beats price in importance
- Informix has paid its dues, is respected
- Revenue potential is huge
 - Internet, remote access, value-added services, competition over local access, etc.
- Many available channel partners
 - They see the potential too
- Aberdeen Rating: highly attractive

Telecomm

Priority Strategic Market
Comments/Maintain/Invest/Attack

Retail Market

- Dynamic: Walmart dominoes keep falling
- Price is always important
 - low margins, structural changes, many sites
- Informix is well known; warehousing is new
- Revenue potential is large but poor economy may hinder plans and growth
- Many channel partners and many “strategic market” means of penetration
- Aberdeen Rating: Good with 50% chance rain

Retail

Priority Strategic Market
Comments/Maintain/Invest/Attack

Banking & Finance Market

- Dynamic: restructuring and downsizing
- Many sites, many opportunities
- Informix is not broadly known
- Revenue potential is large as people & bricks/mortar are replaced by smart systems
- Numerous channel opportunities, but many partnerships already in place
- Aberdeen Rating: Good over time; fair in 1996

Retail Banking

Priority Strategic Market
Comments/Maintain/Invest/Attack

Manufacturing Market

- Dynamic: covers an awfully broad segment
- Solutions-oriented, so partners are critical
- Big market swing towards C-S hides downsizing
- Revenue potential is huge but diffuse
- Channel partners, particularly VARs and ISVs, are critical
- Aberdeen Rating: Good short & long term

Manufacturing

Priority Strategic Market
Comments/Maintain/Invest/Attack

State & Local Government

- Dynamic: “Doing more with less” phenomenon
- Replacing old systems with client-server
- A natural for data warehousing, imaging, workflow
- Mostly buys solutions. Direct selling hindered by bidding regulations
- Can be attacked with multiple channels
- Aberdeen Rating: Fair due to long selling cycle, competition by/among partners

State & Local Government

Priority Strategic Market
Comments/Maintain/Invest/Attack

Strategic Market Worksheet: _____

[Spread Step #1 Across Vertical Markets]

_____→ \$100

Summary of Strategic Market Investments

*[Sum the Strategic Market
Investments
and plot as a percentage]*

Summary of Channel Investments by Vertical Market

_____→ \$100

*[Sum individual strategic market
investments]*